

Our new friend Erin, on the other hand, found a house that is quite the opposite. (The forced appreciation is strong with this one.) It has three bedrooms and three bathrooms plus an office and an unfinished basement. The original owner, who is now the seller, bought it brandnew in 1979—and was a lifelong indoor smoker. He didn't update the home at all, so it's a perfect shrine to the 1970s: shag carpet as far as the eye can see and a winning combination of floral wallpaper and wood paneling on the walls. And the pièce de résistance? A poorly maintained in-ground pool in a part of the country where in-ground pools are an absolute upkeep nightmare.

This property made its debut on the market with a higher asking price because the original owner kept the place in decent shape. It sat untouched for a month before being pulled and relisted at a more reasonable price—\$175,000 less than what a (much nicer and pool-less) home around the corner had sold for six months earlier.

While Erin's home will need a lot of work to bring it up to the same standards as the neighboring home with the same floor plan, she has a good idea how much appreciation she can realize, since the neighbor's similar home sold for \$175,000 more. Even if she has to spend \$50,000 on the rehab, that still leaves her with more than \$100,000 in profit.

While most first-time home buyers won't have the skills, money, or network to pull off a massive renovation project, that doesn't mean all is lost. First, you don't have to buy a full-gut rehab that reeks of smoke and hasn't been updated in forty years in order to take advantage of forced appreciation. Second, there's plenty you can do short of total rehab to increase the value of a home. A fresh coat of paint can transform a room. Flooring is relatively inexpensive and easy to install (or have installed). Replacing outdated fixtures—from doorknobs to ceiling fans to outlet covers—can change the entire look of an older home.

The more someone is willing to take on reasonable DIY efforts—and the more they understand how those improvements will impact their property's value—the better. Compared to Alex and Shelby, who chose to buy at a high price point, Erin is putting herself in a better position to add value to her home. Not only was the outdated home itself a smart choice, but with plenty of padding in her financial position, Erin will be less intimidated by doling out cash for a renovation project.